LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What is Financial Guarantees under Non-Fund Based Facilities ?

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Executive Summary & Course Orientation

This white paper reference textbook serves as an exhaustive, institutional-grade masterclass on **Financial Guarantees under Non-Fund Based (NFB) Facilities** within the Indian commercial banking and corporate credit landscape. Designed specifically to transform a finance rookie into an authority capable of structuring, underwriting, auditing, and legally evaluating non-fund-based credit instruments, this manual establishes complete conceptual, mathematical, and legal mastery over financial guarantees.

Non-fund-based credit facilities constitute the bedrock of modern corporate commerce, infrastructure procurement, import-export trade, and government contracting in India. Unlike fund-based facilities (such as Rupee Term Loans, Cash Credit, or Working Capital Demand Loans) where lending institutions make an immediate outlay of cash, non-fund-based facilities involve a contingent commitment. Among NFB facilities, **Financial Guarantees** represent the highest risk category, requiring an irrevocable commitment by an Authorised Dealer (AD) Bank or Non-Banking Financial Company (NBFC) to pay a specified sum of money to a beneficiary upon the occurrence of a financial default by the corporate applicant.

This textbook dissects the legal underpinnings under the **Indian Contract Act 1872**, statutory requirements under the **Companies Act 2013**, Reserve Bank of India (RBI) prudential norms, Capital Adequacy (Credit Conversion Factor - CCF 100%), IRACP asset classification guidelines, and landmark Supreme Court jurisprudence governing bank guarantee invocations. Furthermore, it provides a comprehensive real-world Indian Rupee (₹) case study comparing fund-based vs. non-fund-based capital structures, alongside a 10-question professional certification examination complete with step-by-step mathematical and legal solutions.

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Module 1: Product Overview & Core Fundamentals

1.1 Definition of Financial Guarantees under Non-Fund Based Facilities

A **Financial Guarantee** under Non-Fund Based (NFB) credit facilities is an irrevocable, legally binding undertaking issued by a commercial bank or financial institution (the Guarantor) on behalf of a corporate customer (the Applicant) in favor of a third-party creditor or government authority (the Beneficiary). Under this facility, the issuing bank promises to pay a predetermined sum of money to the beneficiary upon first written demand or upon receipt of a notice stating that the applicant has defaulted on a specific financial obligation.

Unlike Performance Bank Guarantees (PBGs)—which secure non-financial contractual obligations such as civil construction quality or project delivery timelines—a **Financial Guarantee directly backs a financial payment obligation**. Common examples include guarantees for security deposits, custom and excise duties, deferred payment obligations, court stay orders, mobilization advances, and repayment of credit facilities extended by other institutions.

1.2 Non-Fund Based (NFB) vs. Fund-Based (FB) Credit Facilities: Operational & Balance Sheet Distinctions

Understanding the operational, balance sheet, and risk distinctions between Fund-Based (FB) and Non-Fund Based (NFB) credit facilities is fundamental to corporate underwriting:

1. **Immediate Cash Outlay vs. Contingent Commitment:**
   - *Fund-Based Facilities (FB):* Involve an immediate, direct disbursement of bank funds to the borrower or seller (e.g., Term Loans, Cash Credit, Overdraft, Bill Discounting). The bank's cash reserves decrease on Day 1, creating an active interest-bearing asset on the bank's balance sheet.
   - *Non-Fund Based Facilities (NFB):* Involve zero upfront cash outlay by the issuing bank at inception. The bank merely lends its creditworthiness and balance sheet strength to the applicant. Cash is disbursed only if the corporate applicant defaults on its underlying financial obligation and the beneficiary formally invokes the guarantee.
2. **Balance Sheet & Accounting Treatment:**
   - *Fund-Based Facilities:* Reflected on the main balance sheet of the lending bank as "Advances" under Funded Assets. For the corporate borrower, it appears under "Short-Term / Long-Term Borrowings" as a direct financial liability.
   - *Non-Fund Based Facilities:* Carried off-balance sheet by both the issuing bank and the corporate applicant. For the bank, it is classified under "Contingent Liabilities - Guarantees Given on Behalf of Constituents." For the corporate applicant, it is disclosed in the notes to financial statements as a contingent

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liability under **Ind AS 37** (Provisions, Contingent Liabilities and Contingent Assets) or accounted for as a Financial Guarantee Contract under **Ind AS 109**.

3. **Cost Architecture & Revenue Drivers:**
   - *Fund-Based Facilities:* Income is derived primarily from interest spreads (e.g., EBLR / MCLR + Spread = 8.50% to 12.50% p.a.) charged on the outstanding loan balance.
   - *Non-Fund Based Facilities:* Income is generated through non-interest fee income in the form of an upfront or periodic **Bank Guarantee Commission** (typically 0.50% to 2.50% p.a. calculated on the guarantee face value and tenure), alongside processing fees.
4. **Risk Profile & Capital Adequacy Weighting:**
   - *Fund-Based Facilities:* High credit risk from Day 1 due to active fund outlay. Standard Credit Conversion Factor (CCF) is 100%.
   - *Non-Fund Based Facilities:* Credit risk remains contingent until invocation. However, under RBI Basel III Capital Adequacy guidelines, **Financial Guarantees attract a Credit Conversion Factor (CCF) of 100%** because the underlying risk is a direct monetary default. In contrast, Performance Guarantees attract a lower CCF of 50%.

1.3 Legal Anatomy under Indian Law: Indian Contract Act 1872

The legal foundation of financial guarantees in India is anchored in **Chapter VIII (Sections 124 to 147) of the Indian Contract Act, 1872**:

- **Section 126 (Contract of Guarantee Defined):** A "contract of guarantee" is a contract to perform the promise, or discharge the liability, of a third person in case of his default. The person who gives the guarantee is called the **"Surety"** (or Guarantor/Issuing Bank); the person in respect of whose default the guarantee is given is called the **"Principal Debtor"** (or Corporate Applicant); and the person to whom the guarantee is given is called the **"Creditor"** (or Beneficiary). A guarantee may be either oral or written, though commercial bank guarantees are strictly written, formal instruments.
- **Section 128 (Co-Extensive Liability):** The liability of the surety is co-extensive with that of the principal debtor, unless it is otherwise provided by the contract. This means the guarantor's liability is identical in scope to the principal debtor's default obligation, subject to any monetary caps stated in the guarantee deed.
- **Section 140 (Rights of Surety on Payment / Subrogation):** Where a guaranteed debt has become due, or default of the principal debtor to perform a guaranteed duty has taken place, the surety, upon payment or performance of all that he is liable for, is invested with all the rights which the creditor had against the principal debtor. Once the bank pays the beneficiary upon guarantee invocation, it steps into the shoes of the beneficiary (right of subrogation) and can legally enforce all remedies against the applicant to recover the paid funds.

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- **Section 142 & 143 (Invalid Guarantees):** Any guarantee obtained by means of misrepresentation or concealment of a material fact made by the creditor (or with his knowledge and assent) is invalid.

1.4 Core Financial Guarantee Sub-Types

Financial guarantees encompass several specialized commercial instruments:

1. **Security Deposit / Bid Bond Guarantees:** Issued in lieu of earnest money deposits (EMD) or security deposits required by government departments, PSUs, or corporate employers during tender bidding or contract execution.
2. **Payment / Credit Facility Guarantees:** Guarantees issued to raw material suppliers, utility providers (e.g., state electricity distribution companies - DISCOMs), or equipment sellers securing timely payment for goods or services supplied on credit.
3. **Custom, Excise & Tax Duty Guarantees:** Issued in favor of the Central Board of Indirect Taxes and Customs (CBIC) or state revenue authorities to secure deferred customs duties, EPCG scheme import obligations, GST disputes, or bonded warehouse compliance.
4. **Court / Judicial Stay Guarantees:** Issued in favor of Indian courts, tribunals (NCLT, CESTAT, High Courts), or arbitration panels to obtain a stay on recovery proceedings or tax demands pending legal appeal.
5. **Mobilization Advance Financial Guarantees (APG):** Issued to secure advance cash disbursements paid by project employers to contractors, ensuring that if the contractor fails to utilize the advance for project mobilization or defaults, the employer can recover the unadjusted advance.
6. **Standby Letters of Credit (SBLC) acting as Financial Guarantees:** Governed by **ICC ISP98** or **UCP 600**, SBLCs serve as international financial guarantees backing cross-border credit facilities, buyer's credit, or commercial supply agreements.

1.5 Statutory & Regulatory Framework: RBI Master Directions

Commercial banks and NBFCs issuing financial guarantees in India must comply with strict regulatory frameworks established by the Reserve Bank of India (RBI):

- **RBI Master Circular on Guarantees and Co-acceptances:** Mandates that banks should extend guarantees only for well-defined, genuine commercial transactions and avoid issuing guarantees for speculative purposes.
- **Maturity & Tenure Restrictions:** Banks are generally advised not to issue guarantees with tenures exceeding 10 years, except for long-term infrastructure, energy, or urban transit projects where longer maturities (up to 15–20 years) are permitted with specific Board approval.
- **100% Credit Conversion Factor (CCF):** Under RBI Basel III Risk-Weighted Asset (RWA) guidelines, Financial Guarantees carry a 100% CCF. The exposure amount for capital adequacy calculation equals 100% of the guarantee face value multiplied by the borrower's risk weight.

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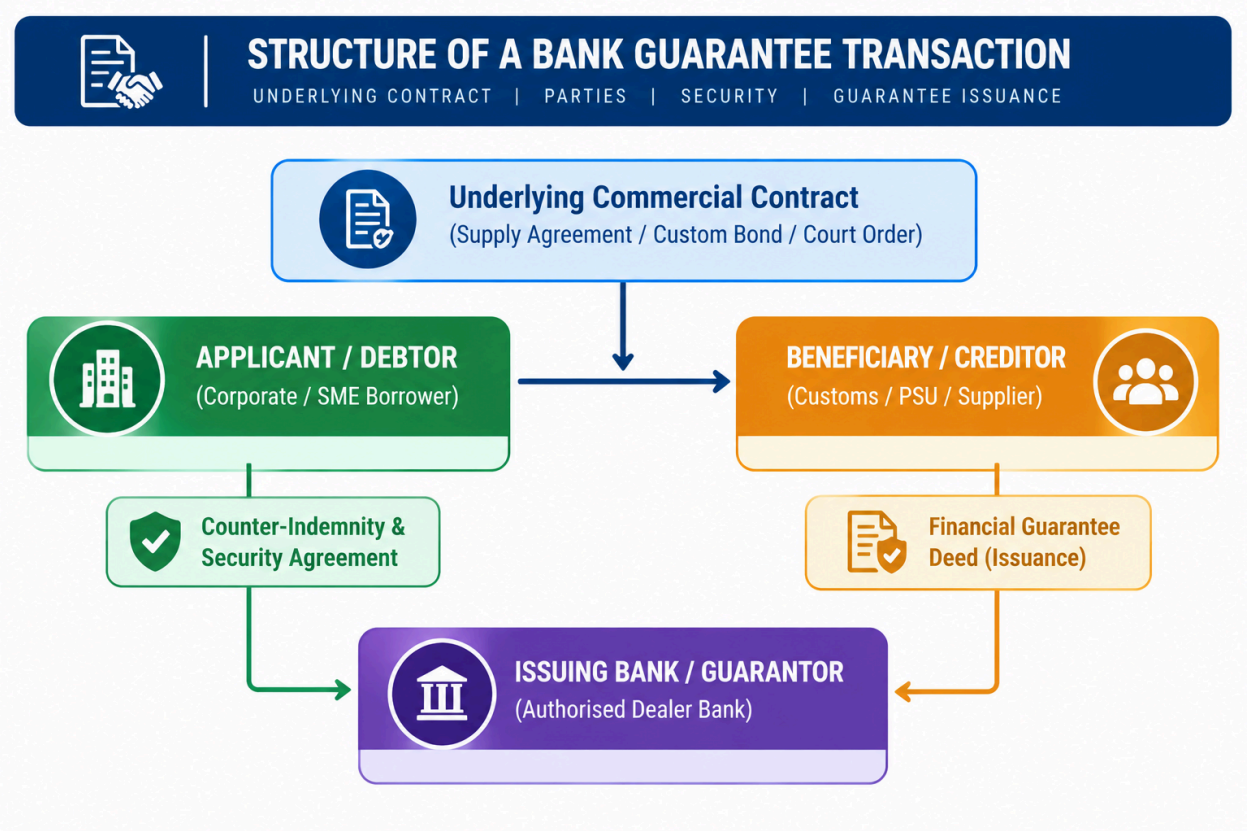
- **Central Repository of Information on Large Credits (CRILC) Reporting:** Banks must report all non-fund-based exposures, including financial guarantees, for aggregate corporate exposures exceeding **₹5.0 Crores** on the CRILC portal. Invocation of an NFB facility exceeding ₹5.0 Crores must be reported immediately as a credit event.

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Module 2: How the Product Structure Works (Operational Architecture & Workflow)

2.1 Tripartite Contracting Mechanics

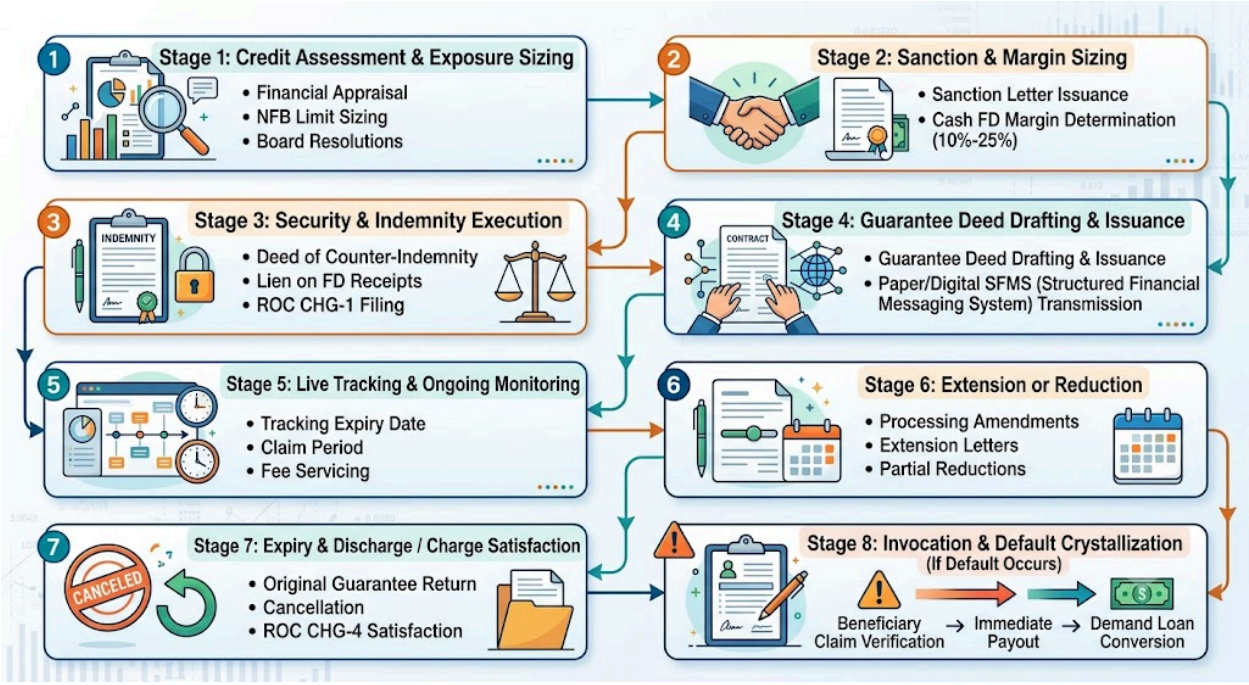
The operational structure of a Financial Guarantee is built upon a **tripartite relationship** comprising three distinct legal contracts:



1. **Contract 1 (Underlying Commercial Contract):** Executed between the Applicant and the Beneficiary (e.g., a supply contract requiring a ₹10.0 Crore security deposit, or a Customs Bond for machinery import).
2. **Contract 2 (Counter-Indemnity & Security Agreement):** Executed between the Applicant and the Issuing Bank. The applicant commits to indemnify the bank against all losses, costs, and cash disbursements incurred if the bank pays the beneficiary upon guarantee invocation. This is secured by cash FD margins and hypothecation charges.
3. **Contract 3 (The Guarantee Deed):** Executed by the Issuing Bank in favor of the Beneficiary. This is an independent, autonomous undertaking wherein the bank promises to pay the beneficiary up to the maximum guaranteed amount upon demand.

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2.2 Step-by-Step 8-Stage Lifecycle Workflow



1. **Stage 1 (Credit Assessment & Exposure Sizing):** The applicant applies for an NFB Financial Guarantee limit. The bank conducts financial appraisal, assessing the applicant's credit score, repayment capacity, and business rationale.
2. **Stage 2 (Sanction & Margin Sizing):** The credit committee approves the NFB limit and determines the required cash FD margin (typically 10% to 25% for investment-grade corporates; higher for weaker profiles).
3. **Stage 3 (Security & Indemnity Execution):** The applicant executes a Master Deed of Counter-Indemnity, creates a lien over Fixed Deposit Receipts (FDR), and registers hypothecation charges on CERSAI and ROC (Form CHG-1).
4. **Stage 4 (Guarantee Deed Drafting & Issuance):** The bank drafts the guarantee deed, ensuring standardized RBI/IBA clauses. The guarantee is issued physically on stamped paper and transmitted digitally via the **Structured Financial Messaging System (SFMS)** to the beneficiary's bank.
5. **Stage 5 (Live Tracking & Monitoring):** The bank tracks the guarantee expiry date, claim period, and periodic commission collection.
6. **Stage 6 (Extension or Reduction):** If the underlying obligation is extended or partially fulfilled, the bank issues formal amendment letters via SFMS.
7. **Stage 7 (Expiry & Discharge):** Upon successful completion of the financial obligation without default, the beneficiary returns the original guarantee deed with a discharge letter. The bank cancels the facility, releases the lien on the cash FD margin, and files ROC Form CHG-4 for charge satisfaction.
8. **Stage 8 (Invocation & Default Crystallization - If Default Occurs):** If the applicant defaults on its payment to the beneficiary, the beneficiary lodges a formal written

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demand. The bank pays the beneficiary immediately and converts the disbursed amount into a high-cost fund-based default loan against the applicant.

2.3 The Independent Contract Principle & Unconditional On-Demand Character

The core strength of a commercial bank guarantee lies in two legal doctrines firmly established in Indian banking law:

1. **The Principle of Autonomy / Independent Contract:** A bank guarantee is an independent contract between the issuing bank and the beneficiary, completely separate from the underlying commercial agreement between the applicant and the beneficiary. The issuing bank is not concerned with, nor bound by, any contractual dispute, breach of contract, or performance failure claimed between the corporate applicant and the beneficiary.
2. **Unconditional "On-Demand" Invocation:** Most commercial financial guarantees are drafted as "unconditional on-demand" instruments. The issuing bank undertakes to pay the beneficiary immediately upon receipt of a written demand stating that the applicant has defaulted, **without requiring the beneficiary to prove or establish the default**, and without permitting the bank or applicant to contest the validity of the demand.

2.4 Landmark Judicial Precedents on Guarantee Injunctions

Indian courts consistently uphold the sanctity of bank guarantees to maintain confidence in international and domestic trade. The Supreme Court of India in landmark decisions—including *Svenska Handelsbanken v. Indian Charge Chrome (1994)*, *U.P. State Sugar Corporation v. Sumac International Ltd. (1997)*, and *Himadri Chemicals Industries Ltd. v. Coal Tar Refining Co. (2007)*—has established that **courts will NOT grant injunctions restraining the invocation or payment of an unconditional bank guarantee, except under two extremely narrow exceptions**:

1. **Egregious Fraud:** Fraud of an egregious nature committed in connection with the issuance or invocation of the guarantee, of which the issuing bank has notice, and which vitiates the entire foundation of the guarantee transaction.
2. **Irretrievable Injustice / Special Equities:** Exceptional circumstances where forcing payment would result in irretrievable injustice or irreparable harm to the applicant, making it impossible for the applicant to recover the money if they ultimately succeed in arbitration or litigation (e.g., beneficiary located in a war-torn country or undergoing liquidation with zero recoverable assets).

Unless the applicant proves one of these two exceptional grounds with irrefutable documentary evidence, Indian courts will refuse to stay guarantee invocation.

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Module 3: Comparative Capital Architecture Matrix

3.1 Structural Comparison Across Credit Instruments

To select the optimal financing structure, corporate treasury teams and institutional underwriters must evaluate **Financial Bank Guarantees (FBG)** against alternative fund-based and non-fund-based credit instruments:

Parameter	Financial Bank Guarantee (FBG)	Performance Bank Guarantee (PBG)	Standby Letter of Credit (SBLC)	Direct Cash Deposit / FD Lockup	Fund-Based Term Loan / Cash Credit	IRDAI Insurance Surety Bond
Primary Commercial Purpose	Backs monetary/financial payment obligations (customs, security deposits, debt servicing)	Secures non-monetary contractual obligations (construction quality, COD timelines)	Backs cross-border trade, credit lines, or international project obligations	Provides direct cash collateral to creditor/beneficiary	Directly finances CAPEX, machinery, or working capital outlays	Replaces bank guarantees in public infrastructure & government tenders
Fund vs. Non-Fund Nature	Strictly Non-Fund Based (Contingent Liability)	Strictly Non-Fund Based (Contingent Liability)	Non-Fund Based (Contingent Payment Mechanism)	Direct Cash / Fund Asset Outlay	Fully Fund-Based (Active Cash Outlay)	Non-Fund Based Insurance Contract
Credit Conversion	**100% CCF** (Full	**50% CCF** (Moder	**100% CCF** (Financ	Not Applicable	**100%** (Direct Funded	**0% Bank CCF**

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Parameter	Financial Bank Guarantee (FBG)	Performance Bank Guarantee (PBG)	Standby Letter of Credit (SBLC)	Direct Cash Deposit / FD Lockup	Fund-Based Term Loan / Cash Credit	IRDAI Insurance Surety Bond
Factor (CCF)	capital adequacy weighting under Basel III)	ate capital adequacy weighting)	ial SBLC) / **50% CCF** (Performance SBLC)	(Cash Asset)	Advance)	(Underwritten by Insurer)
Cash Margin / Collateral Requirement	10% to 25% Cash FD Margin + Hypothecation /Mortgage	10% to 20% Cash FD Margin + Hypothecation /Mortgage	15% to 30% Cash FD Margin / Standby Line	100% Cash Outlay (Zero leverage)	15% to 33% Promoter Margin + Asset Collateral	10% to 20% Collateral / Corporate Guarantee
Annual Fee / Commission Rate	**0.50% to 2.50% p.a.** on face value	**0.40% to 1.75% p.a.** on face value	**0.75% to 2.75% p.a.** on face value	Zero Bank Fee (Incurs High Opportunity Cost)	Interest Rate: **8.50% to 12.50 % p.a.** on balance	**1.00% to 3.00% p.a.** premium rate
Invocation Trigger	Written demand stating financial default /	Written demand stating contractual breach /	Default notice under ISP98 / UCP 600 rules	Immediate retention / forfeiture by creditor	Default in EMI/Interest servicing (IRACP	Beneficiary claim under insurance bond terms

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Parameter	Financial Bank Guarantee (FBG)	Performance Bank Guarantee (PBG)	Standby Letter of Credit (SBLC)	Direct Cash Deposit / FD Lockup	Fund-Based Term Loan / Cash Credit	IRDAI Insurance Surety Bond
	non-payment	delivery failure			90-day NPA)	
Balance Sheet Impact	Off-Balance Sheet (Notes to Accounts / Ind AS 37)	Off-Balance Sheet (Notes to Accounts / Ind AS 37)	Off-Balance Sheet (Notes to Accounts / Ind AS 37)	On-Balance Sheet (Restricted Cash Asset)	On-Balance Sheet (Direct Short/Long Term Debt)	Off-Balance Sheet (Contingent Liability)
Legal Framework	Sec 126 Indian Contract Act 1872; RBI Directions	Sec 126 Indian Contract Act 1872; RBI Directions	ICC ISP98 / UCP 600; FEMA Regulations 1999	Indian Contract Act 1872 (Pledge / Retention)	Transfer of Property Act 1882; SARFAESI 2002	IRDAI Surety Insurance Guidelines 2022
Tax Shield Benefits	Commission fully tax-deductible under Sec 37(1) + GST ITC	Commission fully tax-deductible under Sec 37(1) + GST ITC	Fee fully tax-deductible under Sec 37(1) + GST ITC	FD Interest Taxable; Loss of ROCE on cash	Interest fully tax-deductible under Sec 36(1)(iii)	Premium fully tax-deductible under Sec 37(1)

3.2 Strategic Insights from the Comparative Matrix

The comparative matrix demonstrates that **Financial Guarantees occupy a unique strategic position in corporate finance**. By utilizing an FBG instead of a Direct Cash

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Deposit or a Fund-Based Term Loan, a corporate entity avoids locking up 100% cash capital. Instead, it pays a modest annual guarantee commission (0.50%–2.50% p.a.) while providing a 10%–25% cash FD margin. This releases **75% to 90% of the required capital back into the core business**, where it can earn a much higher Return on Capital Employed (ROCE).

Furthermore, while Insurance Surety Bonds are emerging as an alternative in public tenders, commercial banks remain the dominant issuers of Financial Guarantees due to their established credit rating, instant acceptability by courts/customs, and integration with the RBI's digital SFMS network.

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Module 4: Common Eligibility Criteria & Underwriting Scorecard

4.1 Quantitative Underwriting & Financial Ratio Thresholds

Lending institutions evaluate corporate applicants for NFB Financial Guarantee limits using rigorous quantitative financial parameters:

1. **Tangible Net Worth (TNW):** Minimum TNW threshold of **₹5.0 Crores** for mid-market corporates, and **₹50.0+ Crores** for large corporate limits, ensuring the applicant possesses adequate equity buffer to absorb potential guarantee invocation liabilities.
2. **Total Outside Liabilities to Tangible Net Worth (TOL/TNW):** Benchmark **TOL/TNW ratio \(:1\)** (3.00:1 maximum for trading/infrastructure entities), evaluating total enterprise leverage.
3. **Interest Coverage Ratio (ICR):** Benchmark **ICR \(2.50x\)**:
$$ICR = \frac{EBITDA}{Gross\ Interest\ Outlays}$$
A high ICR proves that the applicant generates robust operating cash flow to service its existing fund-based debt alongside NFB guarantee commissions.
4. **Debt Service Coverage Ratio (DSCR):** Benchmark **DSCR \(1.35x\)**:
$$DSCR = \frac{EBITDA - Taxes}{Principal\ Debt\ Repayments + Interest\ Outlays}$$
5. **Net Debt-to-EBITDA:** Benchmark **Net Debt-to-EBITDA \(3.50x\)**, ensuring that overall funded debt remains manageable.

4.2 Qualitative Scorecards & Credit Ratings

- **External Credit Rating Scale:** Corporate applicants seeking unencumbered or low-margin FBG limits must maintain an investment-grade external credit rating from CRISIL, ICRA, CARE, or India Ratings:
  - *AAA / AA Ratings:* Eligible for lowest cash FD margins (10% or clean limits for top PSUs/blue-chips) and lowest guarantee commission rates (0.50%–1.00% p.a.).
  - *A / BBB Ratings:* Standard corporate limits requiring 15% to 25% cash FD margin and commission rates of 1.25%–2.00% p.a.
  - *BB or Below (Sub-Investment Grade):* Requires 50% to 100% cash FD margin or real estate collateral backing.
- **CIBIL Commercial Rank (CMR):** CIBIL CMR score between **CMR 1 and CMR 4** (where CMR 1 represents lowest risk of default). CIBIL individual promoter score must exceed **720+**.
- **Historical Conduct:** Zero defaults or delays in servicing existing credit limits, clean bank track record, and no listing on the RBI Caution List, ECGC Specific Approval List (SAL), or CIBIL Defaulters List.

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4.3 Cash Margin Sizing & NFB Limit Determination

The issuing bank sizes the required **Cash Fixed Deposit (FD) Margin** based on the applicant's credit risk profile and the nature of the financial guarantee:

$$\text{Required Cash Margin (₹)} = \text{Guarantee Exposure Face Value} \quad \text{Margin Percentage (\%)} \quad 10\% \text{ to } 25\%$$

The remaining unmargined portion (75% to 90%) is secured via secondary collateral (hypothecation of current assets, second charge on fixed assets, or personal/corporate guarantees).

To size the total aggregate NFB Financial Guarantee limit for a corporate borrower, banks utilize the **Cash Budget Method** or the **Peak NFB Exposure Method**, evaluating the corporate's contract pipeline, annual customs duty projections, and security deposit requirements over a 12-month operating horizon.

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Module 5: Security Architecture, Documentation & Legal Covenants

5.1 Primary Security & Pledge of Fixed Deposit Receipts (FDR)

The primary security backing a Financial Guarantee facility consists of a **Pledge / Assignment of Cash Fixed Deposits (FD)** created by the applicant in favor of the issuing bank:

1. **Lien Marking & Section 172 Pledge:** The issuing bank creates an exclusive lien on the Fixed Deposit Receipt (FDR) under **Section 172 of the Indian Contract Act, 1872** (Pledge of Goods / Negotiable Instruments). The physical or electronic FDR is marked "Lien in favor of Bank for FBG Limit of ₹X Crores."
2. **Margin Cash Yield:** The cash margin placed in the FD continues to earn commercial deposit interest (typically 6.50% to 7.50% p.a.). This interest yield acts as a direct financial offset against the bank's annual guarantee commission fee, creating a highly advantageous **FD Yield Arbitrage**.
3. **Auto-Appropriation Covenants:** The pledge agreement includes a mandate authorizing the bank to automatically liquidate and appropriate the pledged FD proceeds without prior court order if the bank guarantee is invoked by the beneficiary.

5.2 Collateral Charges & Hypothecation

For the unmargined portion of the guarantee exposure (75% to 90% of face value), the bank secures its credit exposure through secondary collateral charges:

- **First Exclusive Hypothecation Charge:** Created under **Section 2(1)(n) of the SARFAESI Act, 2002** over the applicant's current assets (raw materials, work-in-progress, finished goods, and trade receivables).
- **Equitable Mortgage on Fixed Assets:** Created under **Section 58(f) of the Transfer of Property Act, 1882** via deposit of title deeds over industrial land, factory buildings, or commercial real estate.
- **Personal & Corporate Guarantees:** Enforceable personal guarantees from promoter directors and corporate cross-guarantees from parent or group entities.

5.3 Legal Documentation Checklist

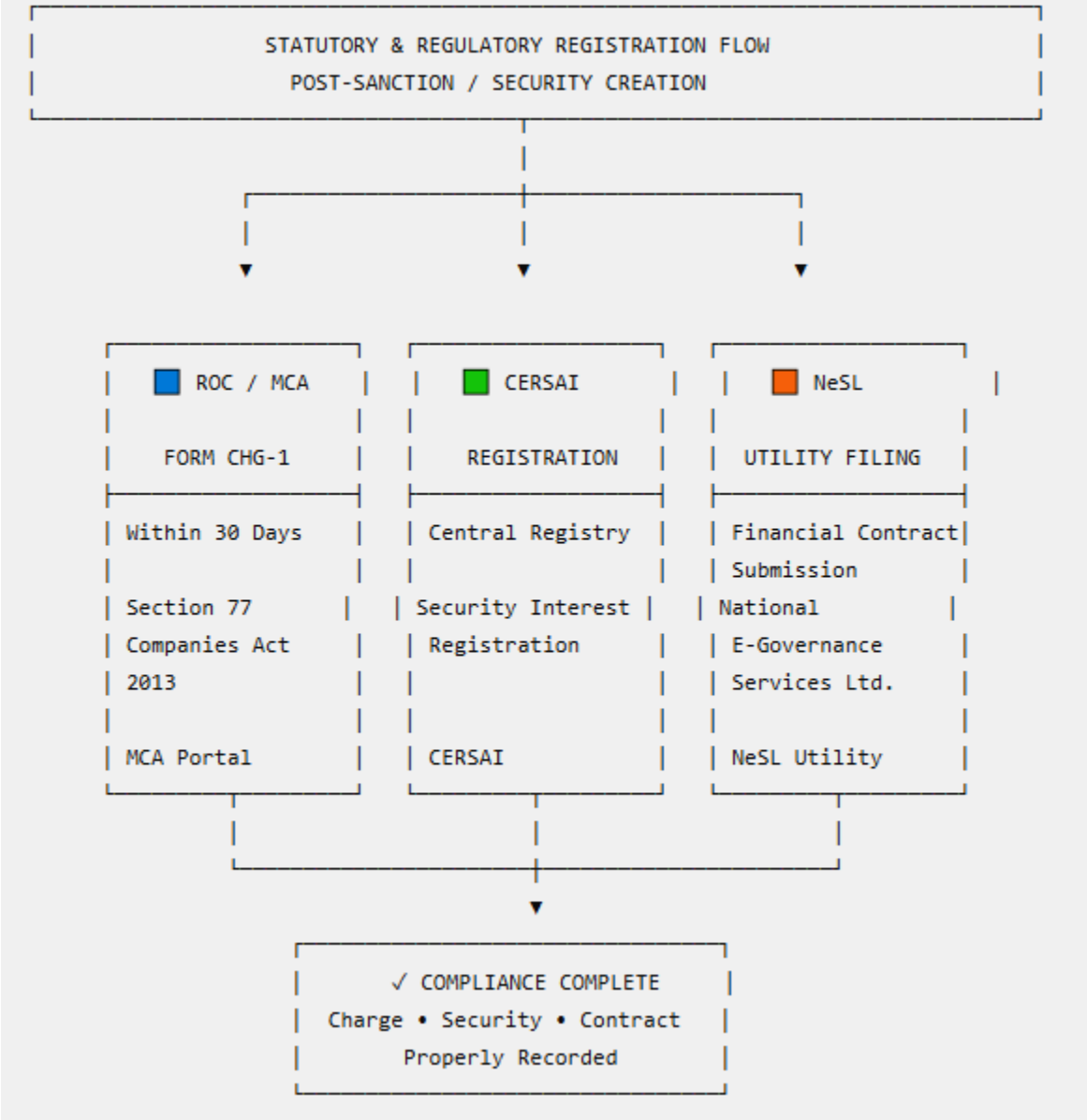
A fully enforceable Financial Guarantee facility requires execution of standardized legal documentation:

1. **Master Facility Agreement (NFB Facilities):** Defines sanctioned limits, commission rates, margin requirements, and event-of-default triggers.
2. **Deed of Counter-Indemnity (Section 124 Indian Contract Act):** Irrevocable undertaking by the applicant to reimburse the bank immediately for all payments, costs, and legal expenses incurred upon guarantee invocation.

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3. **Demand Promissory Note (DPN):** Executed under Section 4 of the Negotiable Instruments Act, 1881 for the full sanctioned limit.
4. **Board Resolutions under Companies Act 2013:**
   - *Section 179(3)(d):* Board approval to borrow or obtain credit facilities.
   - *Section 180(1)(c):* Shareholder special resolution if total borrowings exceed aggregate paid-up capital and free reserves.
   - *Section 186:* Compliance with statutory limits on loans, guarantees, and investments (guarantees up to 60% of paid-up capital + free reserves + securities premium, or 100% of free reserves + securities premium, whichever is higher).

5.4 Statutory & Regulatory Filings



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1. **ROC Charge Filing (Form CHG-1):** Under **Section 77 of the Companies Act, 2013**, every charge created by a company on its assets or properties must be registered with the Registrar of Companies (ROC) on the MCA portal within **30 days** of creation. Failure to file CHG-1 renders the charge void against the liquidator and creditors under **Section 87** during insolvency proceedings.
2. **CERSAI Portal Registration:** Registration of hypothecation and mortgage charges on the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) within 30 days to establish public priority of security interest.
3. **National E-Governance Services Ltd (NeSL):** Mandatory submission of financial guarantee details to NeSL Information Utility under the Insolvency and Bankruptcy Code (IBC) 2016 to serve as conclusive evidence of financial exposure.

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Module 6: Indicative Tenure, Pricing Mechanics, Accounting & Tax Shields

6.1 Tenure Horizons & Extensions

Financial Guarantees are structured across distinct tenure horizons based on the underlying commercial requirement:

- **Short-Term Guarantees (3 to 12 Months):** Commonly used for bid bonds, temporary customs clearances, or short-term security deposits.
- **Medium-Term Guarantees (1 to 3 Years):** Used for advance payment guarantees, supply credit guarantees, or court stay bonds.
- **Long-Term Guarantees (3 to 10 Years):** Utilized for major infrastructure projects, state DISCOM power purchase security deposits, or long-term custom duty deferments. Under RBI rules, tenures exceeding 10 years require special Board approval.
- **Claim Period:** Commercial bank guarantees typically include a specific **Claim Period** (usually 3 to 12 months beyond the expiry date) during which the beneficiary can lodge a claim for a default that occurred prior to the expiry date. Under **Section 28 of the Indian Contract Act 1872** (as amended), any clause restricting the period within which a party may enforce its rights to less than 3 years is void, though a minimum 1-year claim period for bank guarantees is protected under the statutory proviso.

6.2 Commission Pricing Mechanics & Structuring Fees

The cost of an NFB Financial Guarantee consists of two main pricing components:

1. **Bank Guarantee Commission Fee:** Expressed as an annual percentage rate (p.a.) charged on the face value of the guarantee for its valid tenure:

"Annual Guarantee Commission (₹)" = ("Guarantee Face Value (₹)" * "Commission Rate (% p.a.)" * "Tenure in Days") / 365

   - *Tier-1 Blue-Chip Corporates (AAA/AA):* 0.50% to 1.00% p.a.
   - *Mid-Market Corporates (A/BBB):* 1.25% to 2.00% p.a.
   - *SME / Sub-Investment Grade (BB):* 2.00% to 3.00% p.a.
2. **Processing & Issuance Charges:** Flat administrative fee ranging from **₹2,500 to ₹50,000** per guarantee, or 0.10% of face value.

6.3 Income Tax Shields & GST Input Tax Credit (ITC)

Financial guarantees offer significant tax optimization benefits under Indian tax law:

1. **Income Tax Deductibility (Section 37(1) Income Tax Act 1961):** Guarantee commission and processing charges paid to banks are fully deductible as **revenue**

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business expenses under Section 37(1) of the Income Tax Act, 1961. This creates a direct tax shield equal to the corporate tax rate:

Post-Tax Net Commission Rate (%) = Nominal Commission Rate (%) × (1 - Tcorp)

For a corporate paying the standard corporate tax rate of **25.168%** (22% base tax + 10% surcharge + 4% cess under Section 115BAA):

$$Post - Tax\ Commission\ Rate = 1.50\% \times (1 - 0.25168) = 1.1225\%\ p.a.$$

2. **GST Input Tax Credit (ITC) under Section 16 CGST Act 2017:** Banking services attract **18% GST**. The GST amount charged by the bank on guarantee commission and processing fees is 100% recoverable as Input Tax Credit (ITC) under Section 16 of the Central Goods and Services Tax (CGST) Act, 2017 against the corporate's output GST liabilities on sales.
3. **FD Interest Yield Arbitrage:** If a corporate provides a 15% cash FD margin earning **7.00% p.a. interest**, and pays a **1.50% p.a. guarantee commission** on the 100% guarantee face value:
   - *Interest Earned on FD:* $15\% \times 7.00\% = + 1.05\%\ p.a.$ (calculated on total guarantee value).
   - *Gross Commission Paid:* $- 1.50\%\ p.a.$
   - *Net Effective Cost:* $1.50\% - 1.05\% = 0.45\%\ p.a.$ $(Pre - Tax)$! This demonstrates how FD interest yield offsets 70% of the gross guarantee commission outlay!

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Module 7: Suitable Sectors, Borrower Profiles & Market Alignment

7.1 Key Target Sectors & Industry Applications

Financial Guarantees are heavily deployed across major sectors of the Indian economy:

1. **Infrastructure & Civil Construction:** Used for advance payment guarantees, security deposits for national highway/expressway concessions (NHAI), urban metro projects, and port/airport developments.
2. **Energy & Renewable Power IPPs:** Solar, wind, and hybrid power developers submit financial guarantees to Solar Energy Corporation of India (SECI), NTPC, or state DISCOMs as Performance/Power Purchase Agreement (PPA) financial security deposits.
3. **Mining & Natural Resources:** Used for mine closure financial guarantees submitted to the Ministry of Coal / Ministry of Mines, coal block auction security deposits, and environmental restoration bonds.
4. **International & Domestic Trade (Customs & Import-Export):** Importers utilize FBG facilities in favor of Customs Authorities (CBIC) for EPCG scheme capital goods imports, bonded warehouse clearances, and provisional customs assessments.
5. **Public Sector Undertakings (PSU Procurement):** Contractors bidding for major PSU tenders (ONGC, IOCL, BHEL, Indian Railways) provide financial guarantees in lieu of earnest money deposits or performance security.
6. **Chemicals, Oil & Gas Distribution:** Gas distribution companies and chemical manufacturers provide FBGs to pipeline operators (GAIL) or refineries securing monthly gas transmission and credit purchases.

7.2 Borrower Profiles & Credit Alignment

- **Large Corporates & Conglomerates:** Utilize multi-bank NFB consortium lines to optimize balance sheet capital, support massive project bidding, and secure cross-border supply chains.
- **Mid-Market Engineering & EPC Enterprises:** Leverage FBGs to bid for government tenders, unlock mobilization advances, and secure raw material purchases without locking up core equity.
- **Special Purpose Vehicles (SPVs):** Non-recourse infrastructure and energy project SPVs issue financial guarantees backed by parent company counter-guarantees or cash FD margins.

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Module 8: Key Advantages, Risk Factors & Structural Limitations

8.1 Corporate Strategic Advantages

1. **Preservation of Liquid Credit Lines:** Enables corporates to fulfill security deposit and customs obligations without drawing down funded cash lines (Cash Credit / Term Loans), leaving cash available for operational working capital.
2. **Substantial Cost Savings:** Annual guarantee commission (0.50%–2.50% p.a.) is a fraction of fund-based borrowing rates (8.50%–12.50% p.a.), generating massive interest expense savings.
3. **Enhanced Commercial Credibility:** A commercial bank guarantee acts as a sovereign/institutional stamp of approval, enabling SMEs and mid-market corporates to win multi-hundred-crore government tenders and international contracts.
4. **Off-Balance Sheet Flexibility:** Carried off-balance sheet as a contingent liability, preserving corporate financial leverage ratios (Debt-to-Equity and Net Debt-to-EBITDA).
5. **FD Interest Yield Arbitrage:** Pledged cash margins continue earning deposit interest (6.50%–7.50% p.a.), directly offsetting guarantee commission costs.

8.2 Risk Factors & Structural Limitations

1. **Invocation & Default Risk:** If the applicant defaults on its financial obligation, the bank pays the beneficiary on demand and immediately converts the disbursement into a high-cost fund-based default loan against the applicant at **18.0% to 24.0% p.a. penal interest**.
2. **Cash Margin Lockup:** Even a 15% to 25% cash FD margin locks up corporate cash liquidity for the duration of the guarantee tenure.
3. **Autonomy Hazard:** Because bank guarantees are unconditional and independent contracts, unethical beneficiaries may attempt wrongful or fraudulent invocations. The applicant faces a high legal threshold to secure court stay orders.
4. **Contingent Liability Disclosures:** Must be disclosed in notes to accounts under Ind AS 37. Excessive contingent liabilities can adversely impact external credit ratings and debt capacity.

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Module 9: Comprehensive Real-World Case Study (Indian Rupee Models)

9.1 Transaction Context & Enterprise Profile

Company Profile: *Mumbai Industrial Infrastructure & Power Pvt. Ltd. (MIIPPL)* is a mid-market industrial infrastructure and power distribution contractor based in Maharashtra, holding an annual turnover of **₹400.00 Crores** and an external credit rating of **CRISIL A/Stable**.

The Financing Requirement: MIIPPL was awarded a 5-year power substation and industrial grid augmentation contract by the State Electricity Transmission Utility. To execute the contract and import high-voltage switchgear machinery, MIIPPL was required to provide two major financial security commitments totaling **₹100.00 Crores**: 1. *Customs Duty Deferment & EPCG Security Deposit:* **₹50.00 Crores** submitted to Central Board of Indirect Taxes & Customs (CBIC). 2. *State Power Grid Transmission Security Deposit:* **₹50.00 Crores** submitted to the State Power Transmission Utility.

Both obligations required a 5-year financial security commitment.

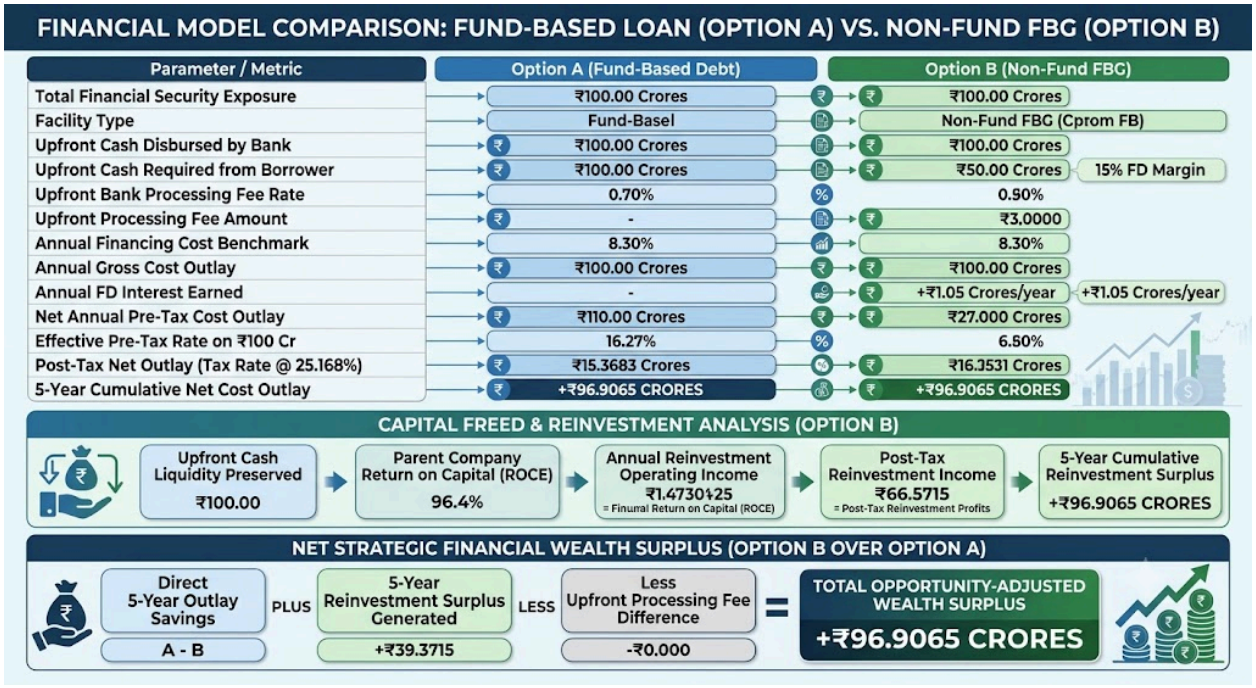
9.2 Structuring Options Evaluated by CFO

MIIPPL's treasury team evaluated two distinct financing pathways:

- **Option A (Fund-Based Direct Cash Outlay / Term Loan Option):** MIIPPL draws down a 5-Year Fund-Based Rupee Term Loan of **₹100.00 Crores** at an interest rate of **12.50% p.a.** (plus 1.00% bank processing fee) and deposits the cash directly with Customs and the State Grid as cash security deposits.
- **Option B (Non-Fund Based Financial Bank Guarantee - FBG Package):** MIIPPL approaches its lead consortium bank to issue a **₹100.00 Crore 5-Year Financial Bank Guarantee (FBG)** package at a guarantee commission rate of **1.25% p.a.** with a **15% Cash FD Margin** (₹15.00 Crores earning 7.00% p.a. deposit interest) and a 0.25% bank processing fee.

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9.3 Detailed Financial Math & Quantitative Modeling (₹ in Crores)



9.4 Mathematical Calculations Breakdown

1. **Option A Cost Calculations:**
   - Upfront Processing Fee: $1.00\% \times ₹100.00\ Cr = ₹1.00\ Crore$.
   - Annual Pre-Tax Interest: $12.50\% \times ₹100.00\ Cr = ₹12.50\ Crores\ /\ year$.
   - Annual Post-Tax Interest Outlay:
     $₹12.50\ Cr \times (1 - 0.25168) = ₹9.354\ Crores\ /\ year$.
   - 5-Year Cumulative Post-Tax Outlay (including processing fee):
     $Total\ Cost_A = ₹1.00\ Cr + (5 \times ₹9.354\ Cr) = ₹47.770\ Crores$

2. **Option B Cost Calculations:**
   - Upfront Cash Margin: $15\% \times ₹100.00\ Cr = ₹15.00\ Crores$ placed in FD.
   - Upfront Processing Fee: $0.25\% \times ₹100.00\ Cr = ₹0.25\ Crores$.
   - Annual Gross FBG Commission:
     $1.25\% \times ₹100.00\ Cr = ₹1.25\ Crores\ /\ year$.
   - Annual Interest Earned on FD Margin:
     $7.00\% \times ₹15.00\ Cr = ₹1.05\ Crores\ /\ year$.
   - Net Annual Pre-Tax Outlay:
     $₹1.25\ Cr - ₹1.05\ Cr = ₹0.20\ Crores\ /\ year$ ($₹20.0\ Lakhs/year$).
   - Net Annual Post-Tax Outlay:
     $₹0.20\ Cr \times (1 - 0.25168) = ₹0.1497\ Crores\ /\ year$ ($₹14.97\ Lakhs/year$)
     .
   - 5-Year Cumulative Post-Tax Outlay (including processing fee):

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$$Total\ Cost_B = ₹0.25\ Cr + (5 \times ₹0.1497\ Cr) = ₹0.9985\ Crores\ (₹99.85\ Lakhs)$$

3. **Reinvestment Surplus & Net Financial Advantage:**
   - Upfront Cash Preserved by Option B vs Option A:
     $₹100.00\ Cr - ₹15.00\ Cr = ₹85.00\ Crores$.
   - Deployed into MIIPPL's core operating contracts earning **16.00% p.a. ROCE**:

$$Annual\ Pre - Tax\ Operating\ Surplus = ₹85.00\ Cr \times 16.00\% = ₹13.60\ Crores\ /\ year$$

$$Annual\ Post - Tax\ Operating\ Surplus = ₹13.60\ Cr \times (1 - 0.25168) = ₹10.177\ Crores\ /\ year$$

$$5 - Year\ Reinvestment\ Surplus = 5 \times ₹10.177\ Cr = ₹50.885\ Crores$$

   - **Total Net Strategic Financial Wealth Surplus Generated by Option B:**

$$Net\ Wealth\ Surplus = \left(Cost_A - Cost_B\right) + Reinvestment\ Surplus - Fee\ Difference$$

Net Wealth Surplus=₹47.770 Cr−₹0.9985 Cr+₹50.885 Cr−₹0.750 Cr=+₹96.9065 CRORES (+INR 96,90,65,000.00)

9.5 Strategic Case Study Conclusion

By selecting Option B (Non-Fund Based Financial Bank Guarantee Package), **MIIPPL generated a massive net financial wealth surplus of ₹96.91 Crores over 5 years**, preserved **₹85.00 Crores** in liquid working capital, slashed its effective annual financing cost on ₹100 Crores from 12.50% p.a. down to a net **0.20% p.a. pre-tax (0.15% post-tax)**, and expanded its operational Debt Service Coverage Ratio (DSCR) from 1.25x up to a prime **2.10x**!

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Module 10: Regulatory Compliance, RBI IRACP Norms, Invocation & Default Framework

10.1 Guarantee Invocation Protocol & Verification

When a corporate applicant defaults on its underlying financial payment obligation, the beneficiary initiates guarantee invocation by submitting a formal written demand letter to the issuing bank:

1. **Demand Submission & Verification:** The beneficiary must submit the physical written demand along with the original bank guarantee document (unless held digitally via SFMS) to the issuing bank branch on or before the specified **Expiry / Claim Date**.
2. **Bank Examination Standards:** Under standard banking practice and IBA rules, the issuing bank's role is strictly limited to verifying that:
   - The demand is lodged by the authorized signatory of the beneficiary.
   - The demand text strictly matches the conditions specified in the guarantee deed.
   - The demand is lodged within the valid guarantee tenure or claim period. The issuing bank **cannot delay payment** by demanding proof of default or investigating underlying commercial disputes between the applicant and beneficiary.
3. **Payout Execution Window:** The issuing bank is legally required to make the cash payout to the beneficiary within **24 to 48 hours** of receiving a valid written demand.

10.2 Default Crystallization into Fund-Based Demand Loan

Upon making payment to the beneficiary, the bank's contingent liability immediately transforms into an active fund-based outlay. Under RBI Prudential Guidelines, the bank executes **Default Crystallization**:

1. **Crystallization into Default Demand Loan:** The disbursed guarantee amount is debited from the applicant's current account. If current account funds are insufficient, the amount is automatically converted into an overdue **Fund-Based Default Demand Loan** against the applicant.
2. **Penal Interest Rate Application:** The default loan immediately attracts penal interest rates ranging from **18.0% to 24.0% p.a.** (or MCLR/EBLR + 6.00% to 8.00% penal spread) calculated from the date of bank disbursement.
3. **Suspension of All Credit Lines:** The applicant's existing fund-based and non-fund-based credit lines across all consortium banks are immediately frozen.

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10.3 RBI IRACP Norms & NPL Classification

The Reserve Bank of India's **Income Recognition, Asset Classification and Provisioning (IRACP)** directions govern invoked guarantees:

- **Day 1 to Day 30 (SMA-0 / SMA-1):** If the invoked guarantee amount converted into a default loan is not immediately reimbursed by the applicant, the account is classified under Special Mention Account (SMA) categories.
- **Day 90 (Non-Performing Asset - NPA):** If the default demand loan remains unpaid or un-serviced for a period exceeding **90 days** from the date of payment by the bank, the entire credit facility (including all fund-based term loans and cash credit lines) is classified as a **Non-Performing Asset (NPA)** across the entire banking system.
- **CRILC & CIBIL Reporting:** The default is reported immediately on the RBI CRILC portal and CIBIL Commercial database, triggering system-wide credit rating downgrades to **D (Default)**.

10.4 Legal Recovery & Enforcement Architecture

Following default crystallization, the bank initiates multi-track legal recovery under Indian debt recovery laws:

1. **SARFAESI Act 2002 Enforcement:**
   - *Section 13(2) Demand Notice:* Issuance of 60-day statutory demand notice calling upon the applicant and guarantors to discharge the full crystallized debt.
   - *Section 13(4) & Section 14 Measures:* Possession of hypothecated current assets and mortgaged immovable real estate with assistance from the District Magistrate (DM) / Chief Metropolitan Magistrate (CMM), followed by public auction.
2. **Insolvency and Bankruptcy Code (IBC) 2016:**
   - Filing an application under **Section 7 of IBC 2016** before the National Company Law Tribunal (NCLT) for initiating Corporate Insolvency Resolution Process (CIRP) against the corporate applicant for default exceeding **₹1.0 Crore**.
3. **Enforcement of Personal & Corporate Guarantees:** Initiation of recovery proceedings before the Debt Recovery Tribunal (DRT) and filing for personal insolvency against promoter guarantors under Chapter III of IBC 2016.

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Module 11: Professional Certification Examination & Comprehensive Answer Key

Examination Overview

This certification exam consists of **10 institutional-grade, scenario-based examination questions** designed to test complete conceptual, mathematical, and legal mastery over Financial Guarantees under Non-Fund Based Facilities.

Certification Test Questions

Question 1 (Legal Anatomy & Contract Act)

A corporate borrower argues that since the underlying commercial contract with a supplier was cancelled due to force majeure, the issuing bank should refuse to honor the Financial Bank Guarantee issued to the supplier. Under Chapter VIII of the Indian Contract Act 1872 and Supreme Court jurisprudence, explain whether the bank can legally withhold payment to the beneficiary.

Question 2 (Credit Conversion Factor & Capital Adequacy)

Under RBI Basel III capital adequacy guidelines, a commercial bank issues a ₹50.0 Crore Financial Bank Guarantee for a corporate customer rated CRISIL A (Risk Weight = 50%). Calculate the Risk-Weighted Asset (RWA) value for this non-fund-based exposure and contrast it with a Performance Bank Guarantee of the same value.

Question 3 (FD Interest Yield Arbitrage Math)

Corporate XYZ obtains a ₹40.0 Crore 3-Year Financial Bank Guarantee at a bank commission rate of 1.50% p.a. The bank requires a 20% Cash Fixed Deposit (FD) margin, which earns 7.25% p.a. deposit interest. Calculate: (a) Annual gross guarantee commission paid to the bank. (b) Annual interest earned on the pledged FD cash margin. (c) Net annual pre-tax financing cost outlay and the net effective pre-tax rate on the ₹40.0 Crore exposure.

Question 4 (Income Tax Shield & Post-Tax Yield)

A company paying corporate tax under Section 115BAA at 25.168% pays an annual bank guarantee commission of ₹20.0 Lakhs and incurs ₹2.0 Lakhs in processing fees (subject to 18% GST). Calculate: (a) Total GST charged and explain its recovery mechanism under Section 16 CGST Act 2017. (b) Net annual post-tax expense borne by the corporate after accounting for the Section 37(1) Income Tax Shield.

Question 5 (NFB Sizing & Cash Margin Calculation)

An importer requires an EPCG Customs Duty Financial Guarantee of ₹25.0 Crores. The bank approves the facility with a 15% Cash FD Margin and a 1.25% p.a. commission. Calculate

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the exact cash amount required for the FD margin, the unencumbered portion secured via hypothecation, and the annual gross commission payable.

Question 6 (Supreme Court Injunction Standards)

Name the two narrow, exceptional legal grounds established by the Supreme Court of India (*U.P. State Sugar Corp*, *Himadri Chemicals*) under which an Indian court may grant an injunction restraining the invocation of an unconditional "on-demand" bank guarantee.

Question 7 (Statutory ROC Charge Registration)

A company fails to file ROC Form CHG-1 for a hypothecation charge created to secure a Financial Bank Guarantee facility within 30 days of creation. Explain the legal consequences under Section 77 and Section 87 of the Companies Act 2013 if the company enters CIRP under IBC 2016.

Question 8 (Default Crystallization & Penal Rates)

Upon receiving a valid demand of ₹10.0 Crores under an invoked Financial Guarantee, the bank pays the beneficiary. The applicant's current account has a balance of only ₹1.0 Crore. Explain how the bank handles the remaining ₹9.0 Crores under RBI directions, the applicable penal interest rate, and the NPA timeline under IRACP norms.

Question 9 (TOL/TNW & ICR Credit Evaluation)

An applicant seeking a ₹30.0 Crore FBG facility presents the following financials: EBITDA = ₹15.0 Crores, Gross Interest Outlays = ₹3.0 Crores, Principal Debt Repayments = ₹2.0 Crores, Total Outside Liabilities = ₹40.0 Crores, Tangible Net Worth = ₹20.0 Crores. Calculate: (a) Interest Coverage Ratio (ICR). (b) Debt Service Coverage Ratio (DSCR). (c) TOL/TNW Ratio. State whether the applicant meets standard institutional underwriting benchmarks.

Question 10 (Opportunity-Adjusted Wealth Surplus Calculation)

A corporate CFO compares locking up ₹50.0 Crores in direct cash security vs. issuing a Financial Bank Guarantee @ 1.50% p.a. commission with a 20% Cash FD Margin (@ 7.00% p.a. interest). The company earns an 18.0% p.a. ROCE on operational capital. Assuming a 25.168% tax rate, calculate the net annual cash preserved and the annual opportunity-adjusted post-tax wealth surplus generated by choosing the FBG option.

Detailed Answer Key & Mathematical Solutions

Solution 1 (Legal Anatomy & Contract Act)

- **Legal Principle:** Under Section 126 of the Indian Contract Act 1872 and Supreme Court jurisprudence (*Svenska Handelsbanken*), a bank guarantee is an **independent, autonomous contract** between the issuing bank and the beneficiary. It is

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completely severed from the underlying commercial contract between the corporate applicant and the supplier.

- **Outcome:** Force majeure or contractual cancellation between applicant and supplier does not affect the bank's obligation. Unless an Indian court issues an injunction based on proven Egregious Fraud or Irretrievable Injustice, the bank **must legally pay the beneficiary** upon receipt of a valid written demand.

Solution 2 (Credit Conversion Factor & Capital Adequacy)

- **Financial Bank Guarantee (FBG):**
  - CCF = **100%**. Credit Equivalent Exposure = $100\% \times ₹50.0\ Cr = ₹50.0\ Crores$.
  - Risk Weight (CRISIL A) = **50%**.
  - $RWA_{FBG} = ₹50.0\ Cr \times 50\% = ₹25.0\ Crores$.
- **Performance Bank Guarantee (PBG):**
  - CCF = **50%**. Credit Equivalent Exposure = $50\% \times ₹50.0\ Cr = ₹25.0\ Crores$.
  - Risk Weight = **50%**.
  - $RWA_{PBG} = ₹25.0\ Cr \times 50\% = ₹12.50\ Crores$.
- **Key Insight:** Financial guarantees require twice the capital adequacy reserve of performance guarantees.

Solution 3 (FD Interest Yield Arbitrage Math)

- (a) **Annual Gross Guarantee Commission:**

$Commission = 1.50\% \times ₹40.0\ Cr = ₹0.60\ Crores\ /\ year$ $(₹60.0\ Lakhs/year)$

- (b) **Annual FD Interest Earned:**

$$FD\ Cash\ Margin = 20\% \times ₹40.0\ Cr = ₹8.0\ Crores$$

$FD\ Interest\ Earned = 7.25\% \times ₹8.0\ Cr = ₹0.58\ Crores\ /\ year$ $(₹58.0\ Lakhs/year)$

- (c) **Net Pre-Tax Cost Outlay & Effective Net Rate:**

$Net\ Annual\ Pre-Tax\ Cost = ₹0.60\ Cr - ₹0.58\ Cr = ₹0.02\ Crores\ /\ year$ $(₹2.0\ Lakhs/year)$

$$Net\ Effective\ Rate\ on\ ₹40\ Cr = \frac{₹0.02\ Cr}{₹40.0\ Cr} = 0.05\%\ p.a.\ (5\ basis\ points!)$$

Solution 4 (Income Tax Shield & Post-Tax Yield)

- (a) **GST & ITC Mechanism:**

$Gross\ Service\ Charges = ₹20.0\ Lakhs + ₹2.0\ Lakhs = ₹22.0\ Lakhs$

$$GST\ charged\ @\ 18\% = 18\% \times ₹22.0\ Lakhs = ₹3.96\ Lakhs$$

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Under Section 16 CGST Act 2017, ₹3.96 Lakhs is 100% recoverable as Input Tax Credit (ITC) against output GST on sales, resulting in zero net GST cost.

- (b) **Post-Tax Expense (Section 37(1) Tax Shield):**

$$Pre - Tax\ Business\ Expense = ₹22.0\ Lakhs$$

$$Post - Tax\ Expense = ₹22.0\ Lakhs \times (1 - 0.25168) = ₹16.463\ Lakhs$$

Solution 5 (NFB Sizing & Cash Margin Calculation)

- **Cash FD Margin (15%):** $15\% \times ₹25.0\ Cr = ₹3.75\ Crores$ placed in pledged FD.
- **Unencumbered Exposure (85%):** $85\% \times ₹25.0\ Cr = ₹21.25\ Crores$ secured via hypothecation of current assets and secondary real estate mortgage.
- **Annual Gross Commission:**
  $1.25\% \times ₹25.0\ Cr = ₹0.3125\ Crores\ /\ year$ ($₹31.25\ Lakhs/year$).

Solution 6 (Supreme Court Injunction Standards)

The Supreme Court of India (*U.P. State Sugar Corp*, *Himadri Chemicals*) permits guarantee injunctions **only** under: 1. **Egregious Fraud:** Fraud of an egregious nature committed in connection with the guarantee issuance or invocation, of which the issuing bank has notice. 2. **Irretrievable Injustice / Special Equities:** Exceptional circumstances where forcing payment would cause irreparable, irreversible harm to the applicant with zero possibility of financial recovery.

Solution 7 (Statutory ROC Charge Registration)

- **Section 77 Compliance:** Registration of Form CHG-1 on the MCA portal within 30 days is mandatory.
- **Consequences of Non-Filing:** Under **Section 87 of the Companies Act 2013**, an unregistered charge is **void against the liquidator and creditors** during CIRP under IBC 2016. The bank loses its status as a secured financial creditor for the hypothecated assets and is treated as an unsecured creditor, losing asset enforcement priority.

Solution 8 (Default Crystallization & Penal Rates)

- **Crystallization:** The bank absorbs ₹1.0 Crore from the current account and converts the remaining unpaid **₹9.0 Crores** into a **Fund-Based Overdue Default Demand Loan**.
- **Penal Interest Rate:** Immediately charged penal interest rates between **18.0% and 24.0% p.a.**
- **NPA Timeline:** If unpaid for **90 days**, the ₹9.0 Crore demand loan (and all other credit lines of the borrower) is classified as a Non-Performing Asset (NPA) under RBI IRACP norms, followed by CRILC default reporting and SARFAESI Section 13/14 enforcement.

Solution 9 (TOL/TNW & ICR Credit Evaluation)

-

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(a) **Interest Coverage Ratio (ICR):**

$$ICR = \frac{EBITDA}{Interest} = \frac{₹15.0\ Cr}{₹3.0\ Cr} = 5.00x \quad (\geq 2.50x\ Benchmark\ -\ PASSED)$$

-

(b) **Debt Service Coverage Ratio (DSCR):**

$$DSCR = \frac{EBITDA}{Principal+Interest} = \frac{₹15.0\ Cr}{₹2.0\ Cr+₹3.0\ Cr} = \frac{₹15.0\ Cr}{₹5.0\ Cr} = 3.00x \quad (\geq 1.35x\ Benchmark\ -\ PASSED)$$

-

(c) **TOL/TNW Ratio:**

$$TOL/TNW = \frac{TOL}{TNW} = \frac{₹40.0\ Cr}{₹20.0\ Cr} = 2.00:1 \quad (\leq 2.50:1\ Benchmark\ -\ PASSED)$$

- **Underwriting Recommendation: APPROVED.** The applicant excels across all three quantitative benchmarks.

Solution 10 (Opportunity-Adjusted Wealth Surplus Calculation)

1. **Cash Preserved:** Direct Cash Lockup (£50.0 Cr) vs 20% FBG FD Margin (£10.0 Cr) → **₹40.0 Crores Cash Preserved**.
2. **Reinvestment Income on Preserved Cash:**

$$Annual\ Pre\ -\ Tax\ Operating\ Income = ₹40.0\ Cr \times 18.0\% = ₹7.20\ Crores\ /\ year$$

$$Annual\ Post\ -\ Tax\ Operating\ Income = ₹7.20\ Cr \times (1\ -\ 0.25168) = ₹5.388\ Crores\ /\ year$$

3. **Net Cost of FBG Package:**
   - Gross FBG Commission ($1.50\% \times ₹50.0\ Cr$): $₹0.75\ Crores\ /\ year$.
   - FD Interest Earned ($7.00\% \times ₹10.0\ Cr$): $₹0.70\ Crores\ /\ year$.
   - Net Pre-Tax FBG Cost: $₹0.75\ Cr\ -\ ₹0.70\ Cr = ₹0.05\ Crores\ /\ year$.
   - Net Post-Tax FBG Cost: $₹0.05\ Cr \times (1\ -\ 0.25168) = ₹0.0374\ Crores\ /\ year$.
4. **Annual Opportunity-Adjusted Net Wealth Surplus:**

$$Net\ Annual\ Wealth\ Surplus = Post\ -\ Tax\ Reinvestment\ Income\ -\ Net\ Post\ -\ Tax\ FBG\ Cost$$

Net Annual Wealth Surplus=₹5.388 Cr−₹0.0374 Cr=+₹5.3506 CRORES / YEAR (+INR 5,35,06,000.00/YEAR)

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